

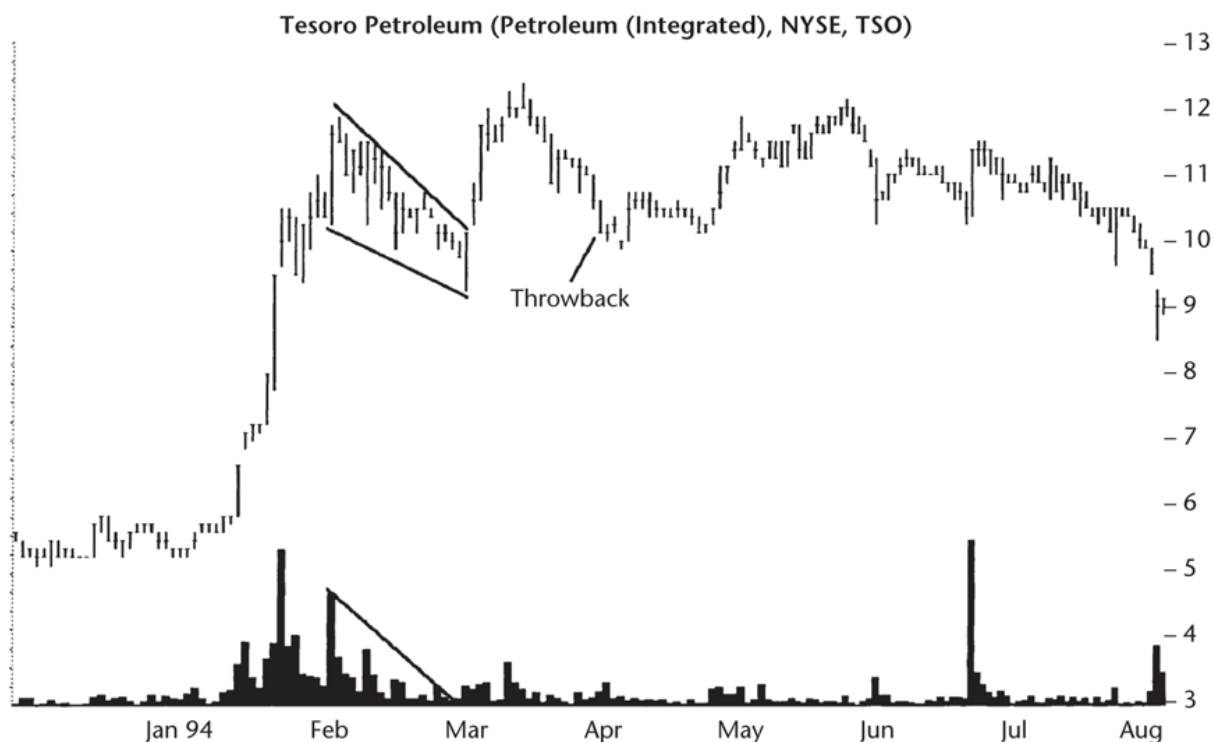


Figure 35.3 A failure of a high, tight flag. Price fails to continue moving up very far before heading down in failure.

Focus on Failures

Investing in a stock showing a high, tight flag is not without risk. [Figure 35.3](#) shows a quick, nearly vertical rise (the flagpole), leading to creation of the flag. As the rise falters, high volume tapers off. When price heads lower in the flag portion of the pattern (marked in this case by two down-sloping trendlines), volume recedes. That's how it should be in well-behaved patterns.

The flag drifts lower for almost a month before price breaks out of the trend and resumes rising. After climbing for just over a week to a new high, the stock curls around and meanders lower. It throws back to near the base of the flag and then moves horizontally for several months before dropping lower again.

The figure shows a flag that suffers from a small rise, and it's typical of this pattern's failure. After price breaks out of the flag upward, it is supposed to